distribution companies to clear their outstanding payments of generators and other input suppliers. While state governments and state distribution companies used these funds to clear old outstanding dues to NTPC and other generation companies, the dues kept increasing throughout the year. The financial year ended with outstanding dues in March being almost at the levels of the year before. This liquidity stimulus by PFC and REC resulted in changing the creditors of state power utilities from generators like NTPC to power finance companies.

There were two specific measures to support flow of credit to non-banking finance companies (NBFCs), including housing finance companies (HFCs) and microfinance institutions (MFIs). The Rs 45,000 crore Partial Credit Guarantee Scheme 2.0 was announced to provide partial credit risk guarantee to public-sector banks (PSBs) for their subscription to the primary issuance of bonds and commercial papers of NBFCs. The scheme was actually only a modified version of the Partial Credit Guarantee Scheme under implementation since 2019. The other facility, a Rs 30,000 crore Special Liquidity Scheme for NBFCs, HFCs and MFIs, was to be implemented through a special purpose vehicle (SPV) to buy their bonds and papers in both secondary and primary markets. This scheme, which sought to provide a guarantee for ultra-short-term papers, purchased through a special vehicle funded by RBI, had insignificant demand and closed without much use. Very little liquidity actually flowed through these two initiatives.

There were three credit stimulus measures totalling Rs 3.25 trillion in the Atmanirbhar package. The largest was a Rs 3 trillion credit guarantee facility for micro, small and medium enterprises (MSMEs). The credit package also included a Rs 20,000 crore credit facility for non-performing MSMEs and a Rs 5000 crore credit facility for street vendors.

The Rs 3 lakh crore credit facility for MSMEs was initially named ‘Collateral-Free Automatic Loans for Businesses’, including MSMEs, and